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Report Highlights:

India's sugar sector is poised for recovery in marketing year 2026/27 following multiple years of production deficits. Consecutive favorable monsoons have restored critical groundwater reserves in major producing states, enabling both area expansion and improved yields for this water-intensive crop. For the first time in two years, domestic production is expected to exceed consumption, marking a significant shift in supply dynamics. India's sugar consumption continues evolving along income-stratified patterns, with commercial and institutional buyers now dominating demand while affluent urban households increasingly shift toward alternative healthy sweeteners. Although total sugar imports are expected to remain steady for MY 2026/27, the expected recovery in production should provide India greater flexibility to meet domestic needs, fulfill international trade obligations, and support its ambitious ethanol blending targets.

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Sugarcane

Table 1. India: Sugarcane, Centrifugal, Area in Thousand Hectares; Others, Thousand Metric Tons

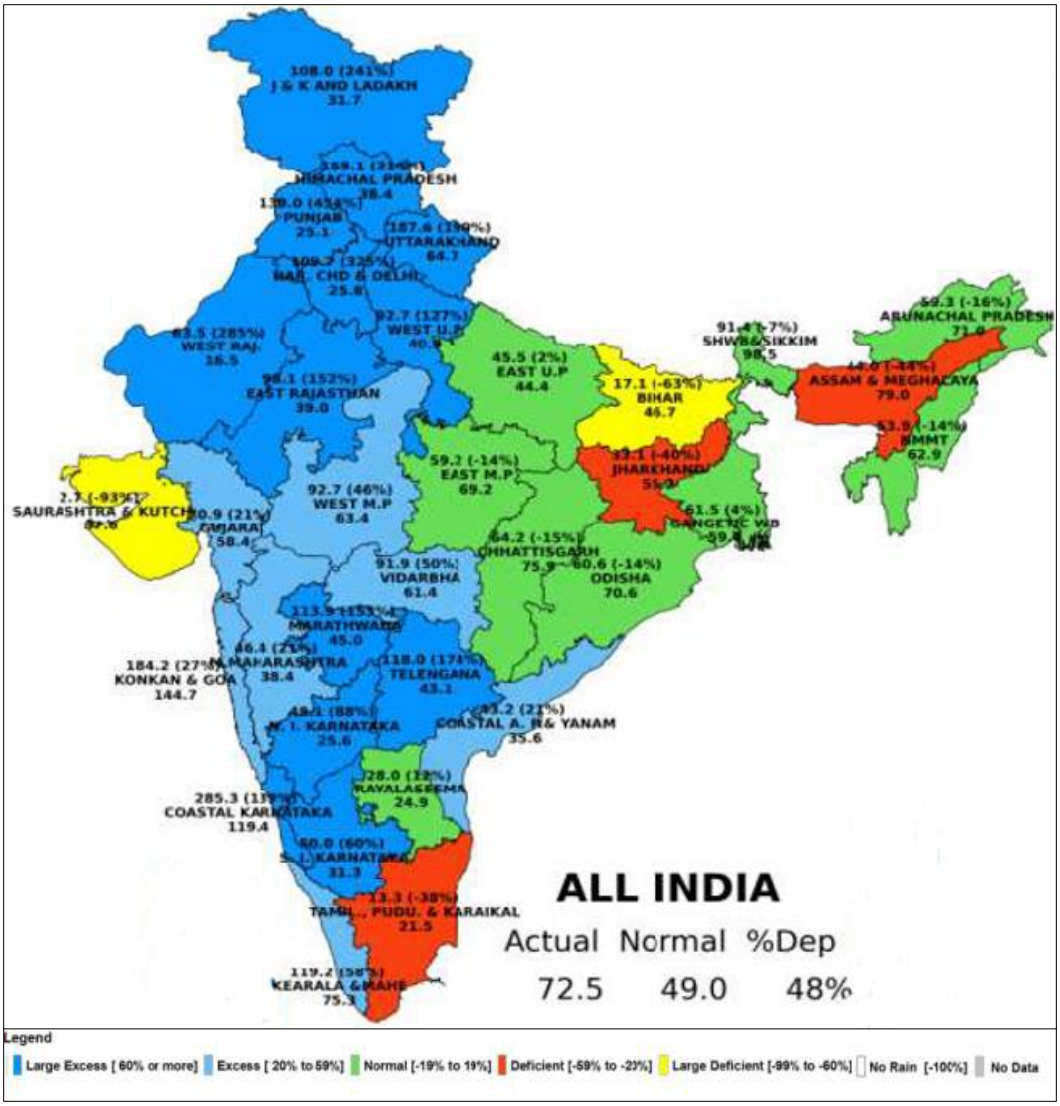
Sugar Cane for Centrifugal	2024/2025		2025/2026		2026/2027	
Market Year Begins	Oct 2024		Oct 2025		Oct 2026	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	5400	5369	0	5850	0	5950
Area Harvested (1000 HA)	5400	5369	0	5850	0	5950
Production (1000 MT)	418000	435000	0	455000	0	463000
Total Supply (1000 MT)	418000	435000	0	455000	0	463000
Utilization for Sugar (1000 MT)	341500	341500	0	360000	0	366000
Utilizatn for Alcohol (1000 MT)	76500	93500	0	95000	0	97000
Total Utilization (1000 MT)	418000	435000	0	455000	0	463000
(1000 HA) ,(1000 MT) OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: *FAS New Delhi historical data series. Forecast for 2026/27; 2025/26 and 2024/25 are estimates.*
Note: Virtually no cane is utilized directly for alcohol production. "Utilization for alcohol" in the table includes cane used for gur, seed, feed, and waste. "Utilization for sugar" data includes cane used to produce mill sugar and khandsari sugar.

Area and Production: FAS New Delhi projects sugarcane planted and harvested area will reach 5.9 million hectares (MHa) in marketing year (MY) 2026/27, with total production expected at 463 MMT (see Table 1). This represents a two percent increase in both area and output compared to the current year, driven by the cumulative benefits of consecutive favorable monsoons in 2024 and 2025 (see Figure 1). These weather patterns replenished groundwater aquifers and surface water reservoirs in the primary producing states of Maharashtra, Uttar Pradesh, and Karnataka—addressing the fundamental constraint for this water-intensive crop.

The two-year sequence of above-normal rainfall has restored irrigation capacity that was severely depleted during the 2023 El Niño event. Field surveys conducted in March 2026 across Maharashtra's sugarcane belt confirmed robust crop establishment and healthy vegetative growth, indicating farmers capitalized on improved water availability to expand planting. The projected sugar recovery rate of 9.2 percent reflects enhanced sucrose accumulation resulting from adequate soil moisture throughout critical growth stages. Government price support mechanisms, including the Fair and Remunerative Price (FRP) system and ethanol procurement guarantees under the National Biofuel Policy, continue incentivizing sugarcane cultivation over competing crops such as cotton and pulses.

Figure 1. India: Rainfall received from August 28th through September 3rd, 2025



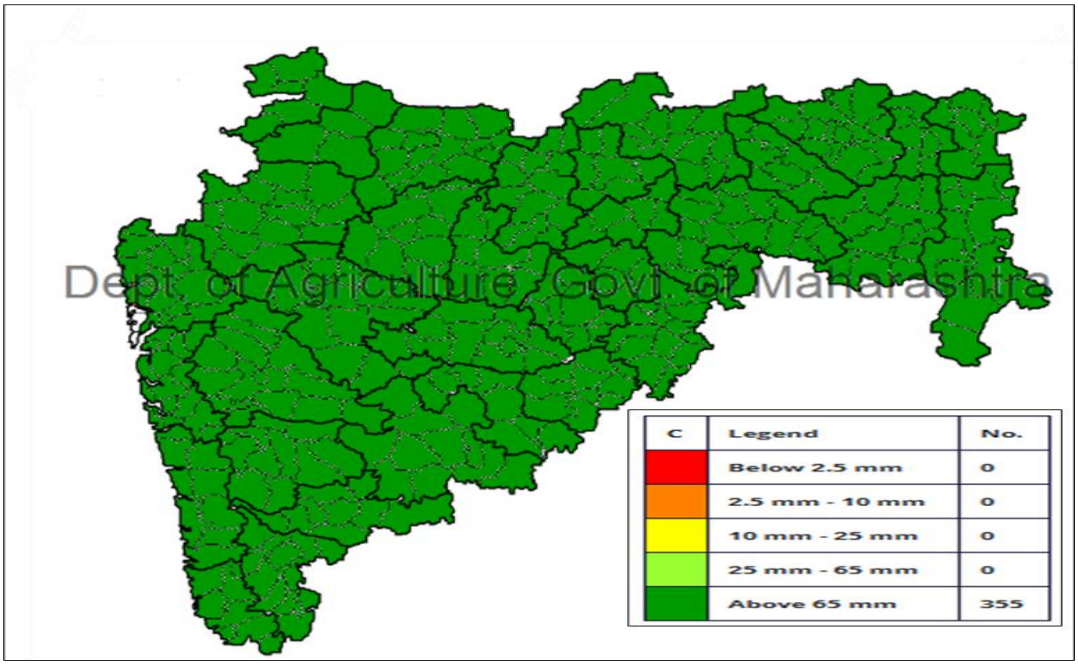
Source: India Meteorological Department

The current year's sugarcane production estimate has been revised downward from 465 MMT to 455 MMT despite favorable early-season conditions. While the 2024 and 2025 southwest monsoons initially improved soil moisture following previous drought years, excessive rainfall during late August through early September 2025 disrupted crop development in Maharashtra and Karnataka. Heavy precipitation caused waterlogging in low-lying areas, restricted field operations during critical growth phases, and induced crop stress. In Maharashtra specifically, intense rainfall from August through October 2025 hindered the vegetative growth in some *ratoon* crops, reducing productivity in several districts (see Figure 2)[1]. These localized weather

[1] *Ratoon* is a new shoot that sprout from the base of a previously harvested sugarcane plant, after cropping.

extremes offset the benefits of improved groundwater availability, resulting in lower-than-anticipated yields for MY 2025/26.

Figure 2. Maharashtra: Rainfall received from August through October, 2025



Source: Department of Agriculture, Maharashtra

Sugar

Table 2. India: Centrifugal Sugar (Raw Value Basis) (Thousand Metric Tons [TMT])

Sugar, Centrifugal	2024/2025		2025/2026		2026/2027	
Market Year Begins	Oct 2024		Oct 2025		Oct 2026	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Beginning Stocks (1000 MT)	8400	8400	6046	6046	0	5076
Beet Sugar Production (1000 MT)	0	0	0	0	0	0
Cane Sugar Production (1000 MT)	28000	28000	35250	30000	0	33600
Total Sugar Production (1000 MT)	28000	28000	35250	30000	0	33600
Raw Imports (1000 MT)	2400	2576	2400	2400	0	2400
Refined Imp.(Raw Val) (1000 MT)	250	24	350	30	0	30
Total Imports (1000 MT)	2650	2600	2750	2430	0	2430
Total Supply (1000 MT)	39050	39000	44046	38476	0	41106
Raw Exports (1000 MT)	89	933	2000	900	0	1200
Refined Exp.(Raw Val) (1000 MT)	2504	2898	2500	2400	0	2400
Total Exports (1000 MT)	2593	3831	4500	3300	0	3600
Human Dom. Consumption (1000 MT)	30411	29123	31000	30100	0	31000
Other Disappearance (1000 MT)	0	0	0	0	0	0
Total Use (1000 MT)	30411	29123	31000	30100	0	31000
Ending Stocks (1000 MT)	6046	6046	8546	5076	0	6506
Total Distribution (1000 MT)	39050	39000	44046	38476	0	41106
(1000 MT) OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: *FAS New Delhi historical data series. Forecast for 2026/27; 2025/26 and 2024/25 are estimates.*
Note: Stocks include only milled sugar, as all khandsari sugar produced is consumed within the marketing year. Virtually no centrifugal sugar is utilized for alcohol, feed, or other non-human consumption. All figures are of raw value. To convert raw value to refined/crystal white sugar, divide by a factor of 1.07.

Production: FAS New Delhi forecasts total sugar production for MY 2026/27 at 33.6 MMT on a raw value basis, comprising approximately 31.4 MMT of crystal sugar and 62,000 MT of khandsari.[2] This projection represents a 12 percent increase from the current year's revised estimate of 30 MMT. The forecast is grounded in field survey observations conducted in March 2026 across Maharashtra's primary sugarcane-growing districts, which documented healthy crop stands and favorable growing conditions (see Figure 3).

[2] Jaggery is an unrefined and natural sweetener made from concentrated sugarcane juice by evaporating it. Khandsari is a natural and unprocessed raw sugar derived from sugarcane juice or liquid jaggery.

Figure 3. India: Sugarcane Fields - Crop Survey, March 2026



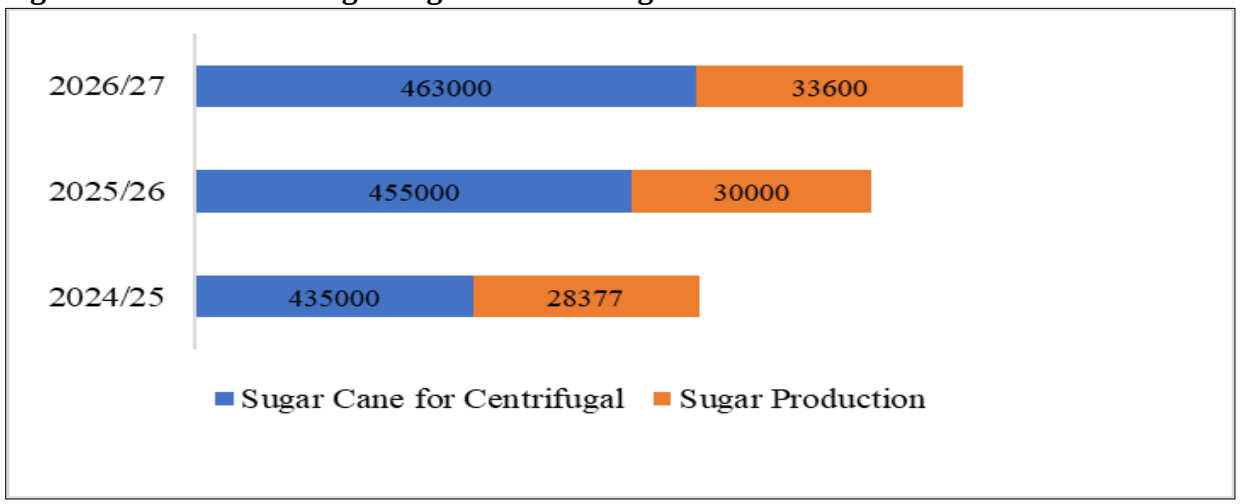
Source: FAS New Delhi Crop Survey, Maharashtra

The projected 12 percent production increase is attributable to two consecutive years of favorable monsoons that restored groundwater levels and surface water availability in major producing regions. This directly addresses sugarcane's intensive water requirements—the primary constraint on cultivation and yield. The marginal improvement in sugar recovery rate to 9.2 percent, up from 8.3 percent in the current year, reflects enhanced sucrose accumulation in well-irrigated cane fields. Adequate soil moisture throughout vegetative and maturation phases enables higher sugar content at harvest.

Crushing operations are scheduled to commence in October 2026 following normal seasonal patterns. The forecast assumes continued favorable weather, operational continuity at processing facilities, and stable policy support through the Fair and Remunerative Price mechanism. Khandsari and jaggery production is expected to increase 3 percent compared to the current year, driven by growing consumer awareness of unrefined sweeteners and shifting preferences toward traditional products perceived as healthier alternatives to refined sugar.

The current year's production estimate has been revised downward to 30 MMT on a raw value basis, representing a 14 percent decrease from the initial forecast of 35.2 MMT. This equates to 28 MMT of crystal sugar with a recovery rate of 8.3 percent. Despite this downward revision, production increased 7 percent compared to MY 2024/25 (see Figure 4). The reduction from initial projections stems from excessive rainfall that impacted Maharashtra, Uttar Pradesh, and Karnataka during late August through early September 2025, lowering cane yields and consequently reducing sugar output.

Figure 4. India: Centrifugal Sugarcane and Sugar Production



Source: FAS New Delhi Research

On April 2, 2026, the Indian Sugar and Bio-Energy Manufacturers Association (ISMA) published its production estimate for MY 2025/26 at 27.2 MMT (crystal value basis), representing a 12 percent decrease from the initial forecast of 31 MMT. By the first week of March 2026, 465 out of 541 sugar mills had concluded crushing operations, according to industry sources. Despite higher production volumes compared to the previous year, excessive rainfall led to lower cane availability, and thereby to earlier mill closures. Additionally, the year-on-year increase in operating mills meant that even with higher than previous year's cane availability, expanded crushing capacity enabled mills to complete operations sooner. This contrasts with the previous year when only 420 mills had closed by late March, allowing crushing activities to continue throughout that month (see Table 3).

Table 3: India: Sugar Mill Status and Recovery Rate as of March 31, 2026

Particulars	October to March 2024	October to March 2025	October to March 2026
Total mills	358	493	541
Sugar production (MMT)	28	30	33.6
Sugar recovery rate	10	8.3	9.2

Source: FAS New Delhi Research

Consumption: FAS New Delhi forecasts centrifugal sugar consumption for MY 2026/27 at 31 MMT on a raw value basis (29 MMT crystal value), representing a three percent increase from the current year's estimate. For the first time in two years, domestic production in MY 2026/27 will exceed consumption levels, ensuring adequate supply availability.

India's sugar market is experiencing fundamental structural changes. Income-stratified consumption patterns now define the market, with commercial buyers increasingly dominating demand. Meanwhile, India has become the world's second-largest diabetic population after China, driven by changing lifestyles and diets. This rising diabetes prevalence is driving consumers to replace sugar with zero-calorie sweeteners.

Although per capita consumption has stabilized at approximately 40 pounds (18 kilograms) annually, aggregate demand continues to grow, driven predominantly by commercial and institutional buyers rather than household consumers. Commercial demand now comprises 70 percent of total consumption and continues to expand across soft drinks, baked goods, confectionery, and dairy products. Professional catering services have grown substantially in recent years, fueling increased commercial sugar requirements. India's extensive and predominantly informal catering industry—vital to community celebrations and cultural events—represents one of the largest sugar-consuming sectors.

Household consumption accounts for 30 percent of total sugar usage and has declined gradually in recent years, particularly among affluent urban demographics. India's sugar consumption demonstrates pronounced stratification across economic segments, reflecting varying levels of health consciousness, economic capacity, and dietary preferences. Urban consumers are curtailing direct sugar consumption and shifting toward substitutes such as jaggery, khandsari, and products with minimal or zero added sugar, influenced by public health initiatives and evolving lifestyles. Middle-class households sustain consistent consumption of sugar-containing products, motivated by cost considerations, flavor preferences, and broad accessibility of processed foods. This segment forms the dependable foundation of consumer sugar demand. Lower-income and rural or semi-urban consumers remain cost-conscious and preference-driven, demonstrating stable sugar usage while maintaining conventional dietary habits.

The current year's consumption has been adjusted to 30.1 MMT on a raw value basis (28 MMT crystal value basis), a three percent decline from the previous estimate of 31 MMT. This marks the second consecutive year where demand is forecast to outpace domestic supply. Concurrently, the Indian government established the sugar sales allocation for 2025/26 at a level three percent lower than the quota set for 2024/25. That previous year's allocation had already been reduced by five percent compared to the year before. Given that these government-mandated sales quotas indicate how much sugar producers must supply to the domestic market monthly, the pattern of consecutive year-over-year reductions signals declining consumption trends.

The adjustment also reflects current international political tensions and their economic impacts. The government increased the cost of domestic and commercial liquid petroleum gas cylinders in March and April 2026 due to tightened supply. India's food service industry is experiencing significant operational challenges as ongoing conflict has constrained cooking fuel availability, forcing establishments to reduce menu options and implement partial closures. The fuel scarcity is elevating energy costs and transportation expenses, ultimately raising cooking gas prices. By March 2026, the shortage had affected household consumers, food service establishments, and manufacturing facilities. Consequently, sugar demand for the current year is expected to decline.

MY 2024/25 sugar consumption has been revised to 29.1 MMT on a raw value basis, reflecting adjustments made to balance trade figures.

Trade: FAS New Delhi projects total sugar imports to remain steady at 2.4 MMT for MY 2026/27, consisting of 2.4 MMT raw sugar and 30,000 MT refined sugar. To protect domestic agricultural producers, the Indian government maintains a 100 percent tariff on raw sugar imports. The majority of sugar entering the country arrives through the Advance Authorization Scheme (AAS), with a minor portion through standard commercial channels. Under AAS regulations, imported raw sugar must undergo refining at Indian coastal refineries prior to re-exportation. Approximately 2.4 MMT of sugar is estimated to be re-exported under this scheme.

Total export projections stand at 3.6 MMT, comprising 1.2 MMT raw sugar and 2.4 MMT refined sugar. The 1.2 MMT raw sugar export forecast assumes improved sugarcane yields in the 2026/27 season. The anticipated recovery rate of 9.2 percent is expected to enhance sugar output and fulfill export requirements. This represents an eight percent increase in total exports compared to the current year's revised estimate of 3.3 MMT.

For the ongoing sugar season, the Ministry of Food and Public Distribution approved exports of 2 MMT raw sugar. Additionally, the United States granted India a raw sugar tariff rate quota (TRQ) allocation of 8,606 MT (raw value). The Indian government reaffirmed on April 7, 2026, that the country will proceed with sugar exports to meet its designated 2 MMT allocation, with no current intention to implement export controls.

However, the 2 MMT raw sugar export authorization will likely be fulfilled only partially due to production shortfalls that have fallen below domestic demand for two consecutive years and higher margins in domestic prices. Industry sources have acknowledged a decline in projected domestic consumption for this year, as output has fallen short of previous forecasts. Export activity has been limited, with less than 1 MMT of refined sugar shipped due to narrow margins. Raw sugar exports face greater challenges as the premium required to match domestic returns is higher by 17 cents per pound, representing losses exceeding 2.5 cents per pound.

Based on these factors, export figures have been revised downward to approximately 900,000 MT of raw sugar from the authorized 2 MMT by September 2026. However, the Indian Rupee has depreciated 4.5 percent year-to-date to record lows, while the Brazilian Real strengthened

three percent. This currency movement is likely to improve export competitiveness for mills despite challenging global prices. Simultaneously, reduced availability of cooking gas resulting from current geopolitical tensions may lead to lower domestic sugar consumption, potentially increasing the volume of sugar available for export.

Prices: Fair and Remunerative Prices (FRP) for sugarcane for 2026/27 have not yet been announced. The Cabinet Committee on Economic Affairs increased the 2025/26 FRP for sugarcane to $41.7 per MT (INR 3,550 per MT), which was 4 percent higher than the previous year. State Advised Pricing (SAP) is another pricing mechanism implemented for sugarcane by Uttar Pradesh, Uttarakhand, Haryana, and Punjab. Unlike FRP, SAP is not tied to the sugar recovery rate and is typically set above the FRP. For this year, SAP for these states has not yet been decided. In addition to the FRP, the Indian government establishes a Minimum Support Price (MSP) for sugar. However, this price has remained unchanged since 2019, standing at $364 per MT (INR 31,000 per MT), despite several adjustments in sugarcane's FRP.

Cane Arrears: The average sugar recovery rate, number of active mills, and cane arrears differ across various states. According to industry sources, mills have disbursed 80 percent of the total $8.87 billion cane arrears to sugarcane farmers this season, leaving $1.79 billion in outstanding payments. Karnataka leads with $530 million in unpaid dues as of the current season—a sharp departure from the previous two fiscal years when the state had no outstanding payments. Uttar Pradesh shows a dramatic increase in arrears, followed by Maharashtra at $330 million.

Domestic and International Price: While 2025/26 production volumes are largely finalized, the comparative economics of ethanol versus sugar production remain critical for 2026/27 planning. Recent geopolitical tensions have elevated global oil prices to approximately $100 per barrel—the first time in nearly four years. According to industry sources, the government was already evaluating increased ethanol blending mandates to reduce petroleum import dependence and support domestic producer capacity.

However, strong domestic sugar prices currently provide limited incentives for mills to redirect production toward ethanol. Additionally, regional variations complicate production decisions. In Northern India, where sugar prices exceed Maharashtra levels, diverting production to ethanol is even less economically viable. Substantial improvements in ethanol-to-sugar price ratios would be necessary to incentivize such shifts. Any ethanol policy modifications could materially affect India's sugar output and global market equilibrium in 2026/27.

Domestic sugar prices remained firm during October-November 2025 due to festive season demand. Since January 2026 prices have remained near $456 per MT. With subdued global prices reflecting strong production expectations from Brazil, Thailand, and India, mills prioritized domestic sales over exports through much of the past month (see Figure 5). Following recent regional tensions, international pricing improved somewhat. However, raw sugar futures

declined after Indian authorities reaffirmed on April 7, 2026, their commitment to maintaining the 2 MMT export quota.

Figure 5. Domestic and Export Sugar Prices (October 2025 - April 2026) (US$ per MT)



Source: Department of Food and Public Distribution and FAS New Delhi Research

Sugar prices are expected to remain elevated throughout the year. Early mill closures, and increased buying activity will sustain high prices while meeting domestic demand and export quotas. From October 2025 through mid-April 2026, average wholesale prices reached $482 per MT (INR 43,370 per MT), with retail prices at $518 per MT (INR 46,600 per MT). Industry sources indicate prices may continue rising if current trends persist. Summer typically brings increased demand, with additional consumption during festive seasons beginning in September.

Stocks: Sugar ending stocks for MY 2026/27 are projected at 6.5 MMT, a 28 percent increase from the current year's estimated ending stock of 5.1 MMT. This projection is based on forecasted improved production and yields as groundwater levels recover. With average consumption, these stocks typically account for approximately three to four months of supply. According to industry sources, India's drive to achieve higher ethanol blending percentages amid projected tightening on-road fuel supplies due to current global political conditions may lead to reduced sugar availability for domestic markets and an increased proportion of sugar being converted to ethanol in the outyear.

MY 2025/26 stock inventories are revised to 5.1 MMT, which is 41 percent lower than the initial estimate, reflecting the production adjustment. Unseasonal rainfall in late August through October resulted in decaying cane roots, thereby reducing sugar production from the initial

production estimate. Despite a drop in production and inventories, a diversion of approximately 3.5 MMT of sugar to ethanol is expected.

Policy: National Biofuel Policy and Ethanol Blended Petrol Program (EBP): Recognizing the essential contribution of ethanol and alternative biofuels to energy independence and environmental sustainability, the Indian government introduced the National Biofuel Policy in 2018. India successfully met its goal of 20 percent ethanol blending in gasoline (E-20) during Ethanol Supply Year (ESY) 2025, spanning November through October. This policy framework established the Ethanol Blending Program (EBP), designed to expand ethanol production from feedstocks including sugarcane, broken rice, damaged grains, and corn (see Table 4). For the current year, 3.5 MMT out of total 33.5 MMT on raw value basis (remaining 30 MMT is net sugar production as mentioned in previous sections) is likely to be converted to ethanol.

To encourage corn production, the government raised the corn-based ethanol incentive to INR 71.86 per liter in ESY 2025 and sustained this rate through ESY 2026, while simultaneously raising rice procurement prices. Effective November 1, 2025, the Indian government authorized the utilization of all sugarcane-derived materials for ethanol manufacturing—including cane juice, syrup, B-heavy molasses, and C-heavy molasses—for the current ESY. This policy revision represents a substantial strategic change designed to assist sugar mills (which account for approximately 30 percent of ethanol output), enhance renewable energy generation, and accelerate India's biofuel integration objectives.

Previously, sugar to ethanol production faced restrictions due to diminished sugarcane supplies. Furthermore, the government approved the allocation of 5.2 MMT of rice from the Food Corporation of India (FCI) to distilleries exclusively for ethanol manufacturing. According to FAS contacts, India has the capacity to reach a new benchmark of E-25 by ESY 2026/27, potentially following state-level elections.

Table 4: Ethanol Price for ESY 2022/23, 2023/24, 2024/25 and 2025/26 (INR per Liter)

Feedstock	ESY 2022/23	ESY 2023/24	ESY 2024/25	ESY 2025/26
Sugarcane Juice/Sugar Syrup/Sugar	65.61	65.61	65.61	65.61
B-Heavy Molasses	60.73	60.73	60.73	60.73
C-Heavy Molasses	49.41	56.28	57.97	57.97
Damaged Food Grains	55.54	64	64	64
Corn	-	66	71.86	71.86
Surplus Rice (from Food Corporation of India)	58.50	58.50	58.50	60.32

Source: MoPNG

Attachments:

No Attachments